

Expense Policy

Company: [Company Name] | Effective Date: [Insert Date] | Policy Owner: Human Resources / Finance

Purpose: This sample policy is designed for internal company use and should be reviewed and adapted to local laws, tax rules, employment requirements, and company-specific practices before adoption.

1. Purpose and Scope

This policy establishes standards for business expense reimbursement and company-card use. It applies to all employees and other individuals authorized to incur expenses on behalf of [Company Name].

The company reimburses ordinary, necessary, reasonable, and properly documented business expenses. Personal expenses are the responsibility of the individual.

2. General Expense Principles

- Expenses must have a valid business purpose and comply with company policy and applicable law.
- Employees should use good judgment and spend company funds as carefully as they would spend their own.
- Splitting one expense into multiple transactions to avoid an approval threshold is prohibited.
- The company will not reimburse costs already paid by a client, vendor, conference organizer, insurer, or another third party.

3. Approval Requirements

Employees are responsible for obtaining required approval before incurring significant or unusual expenses. Managers are responsible for reviewing business purpose, documentation, reasonableness, policy compliance, and budget availability.

- Expenses outside normal policy limits require written exception approval.
- An employee may not approve their own expense report unless expressly allowed by the company's finance controls.

4. Receipts and Documentation

Itemized receipts are required for expenses of \$25 or more, or at a lower threshold if required by local law or company practice. For smaller purchases, a receipt should still be provided when reasonably available.

- Documentation should show vendor, date, amount, currency, items purchased, and payment method where available.
- For meals or entertainment, list the business purpose and attendees when required.
- If a receipt is lost, the employee must provide a written explanation and may be asked to complete a missing-receipt declaration.

5. Common Reimbursable Expenses

- Approved business travel costs, subject to the Travel Policy.

- Client or prospect meals with a clear business purpose.
- Office supplies, shipping, printing, and small tools needed for work.
- Approved software, subscriptions, professional memberships, certifications, or training.
- Business mileage in a personal vehicle at the company-approved reimbursement rate, excluding normal commuting.
- Reasonable mobile, internet, or home-office costs when covered by a separate company program or required by law.

6. Non-Reimbursable Expenses

- Personal entertainment, clothing, toiletries, gifts for family or friends, and non-business purchases.
- Traffic tickets, parking violations, fines, penalties, and personal legal expenses.
- Premium travel or luxury upgrades without prior approval.
- Personal commuting between home and the regular work location, except where required by law or special program.
- Expenses that are excessive, inadequately documented, fraudulent, or contrary to company standards.

7. Corporate Cards

Company cards are issued for authorized business use only. Cardholders must protect card information, reconcile transactions promptly, attach supporting documentation, and report lost or stolen cards immediately.

Accidental personal charges must be identified promptly and repaid according to Finance instructions. Repeated misuse may result in loss of card privileges and disciplinary action.

8. Submission and Reimbursement Timeline

Expense reports should normally be submitted within 10 business days after the expense is incurred or after returning from travel. Approved reimbursements are paid through the company's normal reimbursement or payroll process.

Late submissions may be delayed, denied where legally permissible, or require additional management approval.

9. Fraud and Misrepresentation

Knowingly submitting false, duplicate, altered, or misleading expense claims is prohibited and may result in disciplinary action up to and including termination, repayment obligations, and referral where required by law.

Policy Administration: Questions about this policy should be directed to the policy owner. [Company Name] may revise this policy at any time, subject to applicable law and required notice.